BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

---

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

---

Prepared Exhibits of:
Staff Gas Infrastructure and
Operation Panel

Mark Tintera
Assistant Engineer (Electrical)

Qin Shi
Utility Engineer Specialist 2

Sean Walters
Professional Engineer 1

Office of Electric, Gas and
Water

125 East Bethpage Road,
Plainview, New York 11803

Brian Fisher
Utility Engineer Specialist 2

State of New York, Department of
Public Service, Office of
Electric, Gas and Water

Three Empire State Plaza,
Albany, New York 12223-1350

**Introductions and Qualifications**

Q. Members of the Staff Gas Infrastructure and Operation Panel (Panel), please state your names, employer, and business addresses.

A. Mark Tintera, Qin Shi, and Sean Walters. We are employed by the New York State Department of Public Service (Department). Our business address is 125 East Bethpage Road, Plainview, NY 11803. My name is Brian Fisher. I am also employed by the Department, however, my business address is Three Empire State Plaza, Albany, NY 12223.

Q. Mr. Tintera, what is your position at the Department?

A. I am employed as an Assistant Engineer, Electrical, in the Electric Distribution Section in the Office of Electric, Gas, and Water.

Q. Please summarize your educational and professional background.

A. I graduated from the State University of New York at Farmingdale in 2008 with a Bachelor of Science degree in Mechanical Engineering Technology. My professional experience includes six years designing drive components at

Designatronics Inc., one year designing mechanical systems at Genesys Engineering, and a total of two years at the Town of Huntington as a Building Permit Examiner, and Suffolk County as a Public Health Sanitarian overseeing and inspecting the installation of hazardous material storage systems. I have been employed by the Department since July 2014 and my responsibilities have included various aspects of electric and gas utility regulation. This includes reviewing utilities' emergency response plans, overseeing emergency drills, participating in rate cases, overseeing Federal Emergency Management Agency work, performing safety inspections on electric facilities, conducting electric load forecasting reviews, performing engineering analyses and reviews of rates and tariff filings, performing reliability analyses of electric service, performing interconnection reviews and providing recommendations, reviewing the utilities' substations, distribution circuits and other facilities construction documents, and analyzing the operation, maintenance, and construction

cost of electric and gas facilities.

Q. Have you previously testified in utility rate proceedings or other ratemaking proceedings?

A. Yes. I previously testified in Matter No. 15-00262, Long Island Power Authority – Three Year Rate Proposal, regarding the Delivery Service Adjustment and on the Storm Reserve Panel, as well as the Energy Efficiency and REV Panel. Most recently, I testified in Cases 16-G-0058 and 16-G-0059 that established gas rates for The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively the Companies). My testimony was included in Staff's Gas Infrastructure and Operations Panel (GIOP) primarily relating to the subject area of reviewing growth capital expenditures.

Q. Mr. Shi, what is your position at the Department?

A. I am employed as a Utility Engineer Specialist 2.

Q. Please describe your educational background.

A. I graduated from University of Buffalo with a Bachelor of Science Degree in Civil Engineering

and a Bachelor of Arts Degree in Mathematics in 2005.

Q. Please describe your responsibilities and professional experience with the Department.

A. I joined the Department in February 2007. I started in the Electric Distribution Section where my responsibilities included monitoring and conducting observation of electric utilities' field activities in order to ensure utility compliance with the Public Service Law and with electric service and safety standards; investigating customer complaints associated with reliability issues; and responding to electric emergency events. In 2009, I joined the Water Rates Section. My responsibilities in that Section included performing cost and depreciation studies, developing rates and rate structures, analyzing operation and maintenance (O&M) expense accounts, and reviewing water companies' escrow accounts. In 2012, I joined the Major Utility Rates Section. My duties included the review and evaluation of electric and gas utility capital expenditure (CapEx) and O&M budgets and the engineering analyses of

electric and gas utility rate, statement, and tariff proposals. In 2014, I joined the Department's Long Island Office. My duties include the review of electric capital and O&M expense, emergency response plans, and performance metrics.

Q. Have you previously testified in utility rate proceedings or other administrative proceedings?

A. Yes. I have testified in several proceedings such as Cases 08-E-0539, 11-W-0082, 13-E-0030, 13-G-0031, 13-S-0032, and Matter 15-00262. Most recently, I have testified in Cases 16-G-0058 and 16-G-0059 that established gas rates for KEDNY and KEDLI. My testimony was primarily in the subject area of the Companies' sales forecasts.

Q. Mr. Walters, what is your position at the Department?

A. I am employed as a Professional Engineer.

Q. Please briefly describe your educational background and professional experience.

A. I received a Bachelor of Engineering in Mechanical Engineering from Stony Brook University in 2008. I then worked with Padilla

Construction Services, Inc. as a civil engineer from 2008 until 2014. My key responsibilities included quality control, contract compliance, testing and inspections, and budget oversight for construction contracts that included structural steel, concrete, earthwork, electrical, and mechanical systems.

Q. Please describe your responsibilities and professional experience with the Department.

A. I joined the Department in 2014 as a Junior Engineer. In 2015, I was promoted to Utility Engineer 1. I received my Professional Engineer license in 2016 and was subsequently promoted to Professional Engineer. My responsibilities with the Department have covered a wide range of New York State utility company operations. More specifically, this has included the review of capital expenses, O&M expenses, performance metrics, management audits, rate design and tariff structures, renewable energy policies, safety performance, and emergency response plans for conformance with New York State and industry-wide best practices.

Q. Have you previously testified before the

Commission?

A. Yes. I have previously testified before the Commission in other proceedings including Cases 16-G-0058 and 16-G-0059 that established gas rates for KEDNY and KELDI. My testimony was primarily in the subject area of capital expenditures.

Q. Mr. Fisher, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 2 assigned to the Gas and Water Rates and Policy Section in the Office of Electric, Gas and Water.

Q. Please summarize your education and professional experience.

A. I received a Bachelor of Science degree in Civil Engineering from Clarkson University in 2006. I also received a Master of Science degree in Environmental Engineering from the University of Notre Dame in 2009 and a Ph.D. in Civil Engineering from Southern Methodist University in 2012. I began my employment with the Department as a Junior Engineer in July 2012. While employed at the Department, I have

prepared, analyzed, and reviewed reports and studies involving operating revenues, sales forecasts, O&M expenses, embedded costs, revenue allocation and rate design. My current duties include the engineering analyses of gas and water utility rates, pricing, and tariff filings.

Q. Have you testified before the Commission in other proceedings?

A. Yes, I testified in Cases 13-G-0031 and 16-E-0060, Consolidated Edison Company of New York, Inc., regarding the embedded cost of service study, revenue allocation and rate design, and various proposed tariff changes. I also testified in Case 14-E-0318, Central Hudson Gas & Electric Corporation, regarding the ECOS study, revenue allocation and rate design, and proposed tariff changes, and Cases 17-E-0459 and 17-G-0460, regarding the net plant model, common capital including information technology projects, and price out. I testified in Case 18-E-0067, Orange and Rockland Utilities, Inc., regarding electric and common capital expenditures, and the net plant model. Finally,

I testified in Case 19-G-0066, Consolidated Edison Company of New York, Inc., regarding gas sales forecast, depreciation, embedded cost of service study, revenue allocation, firm and interruptible rate design and price out.

## Summary of Testimony

Q. What is the purpose of the Panel's testimony in these proceedings?

A. Our testimony will recommend an overall level of capital expenditures (CapEx) for KEDNY and KEDLI projected for the Rate Year, which is the twelve months ending March 31, 2021 and to recommend a level of net plant and depreciation expense to be reflected in the Companies' revenue requirements. It is our position that the Companies should spend at the levels they deem appropriate to provide safe and adequate service. We are, however, recommending adjustments to the capital programs, which will impact the amount of plant in service balances and depreciation expense. These adjustments reflect the level of capital additions we believe the Companies have justified in their

initial testimonies, corrections and updates testimonies, and responses to requests for information (IRs) provided during the discovery phase of the proceeding.

Q. Please define the HTY, Rate Year, and Data Years in these proceedings.

A. The HTY is the twelve-month period ending December 31, 2018. The Rate Year is the twelve-month period ending March 31, 2021. The Data Years, One, Two, and Three, are subsequent twelve-month periods ending March 31, 2022, March 31, 2023, and March 31, 2024, respectively.

Q. What are KEDNY's and KEDLI's fiscal years (FY)?

A. The Companies' FY runs from April 1 to March 31. They are identified by the calendar year in which the FY ends, such that FY 2021 begins on April 1, 2020, ends on March 31, 2021, and is identical to the Rate Year.

Q. What is the purpose of reviewing the Companies gas capital budget in this proceeding?

A. The intent of reviewing the Companies' CapEx budgets is to determine the appropriate level of gas capital expenditures to be used in setting

rates for the Rate Year. Our recommended adjustments reflect the level of capital additions we believe are reasonable, given the Companies' initial rate case presentations, responses to IRs during the discovery phase of these proceedings, and information shared during in-person meetings. As such, we believe that with our adjustments, we are recommending the level of plant in service that is most appropriate for the Commission to use when setting rates.

Q. If the Companies complete projects that they deem appropriate to provide safe and adequate service at higher spending levels than forecast in the Rate Year, will the higher cost be reflected in rates?

A. No. The rates that a customer pays through base delivery rates will be set in accordance with the level of forecast net plant, and other cost of service items, that the Commission adopts in these proceedings. If the Companies add plant at levels in excess of the levels forecast in base delivery rates, we recommend no provision that automatically adjusts rates upward to

recognize that increase. Conversely, however, if the Companies add plant at levels less than provided for in rates, we recommend that the Companies credit customers the associated revenue requirement impact of the shortfall as compared to the forecast levels. This reconciliation is addressed in our testimony.

Q. What other items will the Panel discuss?

A. We will discuss, among other things: (1) the scope of our review of the Companies' CapEx budgets; (2) the scope of our review of the Companies' historical CapEx; (3) the Companies' CapEx budgeting process; (4) an overview of the Companies' CapEx budgets;(5) the Companies' proposed CapEx by budget categories; (6) the Companies' capitalization policy; (7) our proposed Rate Year net plant in service and depreciation expense for KEDNY and KEDLI; (8) the Companies' proposed incremental O&M expenses; (9) the Companies' City State Construction True Ups; (10) the proposed incentives for Leak Prone Pipe and customer connections in the Gas Safety and Reliability Surcharge; (11) the Capital Investment

Reconciliation Mechanism; and (12) various reporting requirements.

Q. Please describe the Panel's overall CapEx recommendations and adjustments.

A. We recommend reducing KEDNY's Rate Year direct capital budget, as shown in the Company's Exhibit___(GIOP-1), by $124.3 million with the following adjustments based on our review: (1) for the Customer Connection Category, we recommend a downward adjustment of $50.5 million; (2) for the Mandated Category, we recommend a downward adjustment of $37.6 million; (3) for the Reliability Category, we recommend a downward adjustment of $36.4 million; and (4) for the Non-Infrastructure Category, we recommend an upward adjustment of $0.2 million. Additionally, we recommend adjusting KEDNY's indirect capital budget: (5) for facilities, we recommend an upward adjustment of $0.09 million.

We recommend reducing KEDLI's Rate Year direct capital budget, as shown in the Company's Exhibit___(GIOP-1), by $157.5 million with the following adjustments based on our review: (1)

for the Customer Connection Category, we recommend a downward adjustment of $92.5 million; (2) for the Mandated Category, we recommend a downward adjustment of $18.3 million; (3) for the Reliability Category, we recommend a downward adjustment of $46.3 million; and (4) for the Non-Infrastructure Category, we recommend an downward adjustment of $0.3 million. Additionally, we recommend adjusting KEDLI's indirect capital budget: (5) for facilities, we recommend a downward adjustment of $0.03 million.

Q. Please describe the Panel's overall O&M expense recommendations and adjustments.

A. We recommend reducing KEDNY's Rate Year incremental O&M expense budget, shown in Exhibit___(GIOP-8CU), by $4.806 million and we recommend reducing KEDLI's Rate Year incremental O&M expense budget, shown in Exhibit___(GIOP-7CU), by $3.010 million.

Q. Please describe the Panel's overall FTE employee adjustment.

A. We recommend reducing KEDNY's Rate Year FTE count, as shown in Exhibit___(GIOP-9CU), by 11.6

FTEs and we recommend reducing KEDLI's Rate Year FTE count, as shown in Exhibit___(GIOP-8CU), by 7.9 FTEs.

Q. Please describe the Panel's depreciation expense recommendations and adjustments.

A. We ran our capital budget adjustments through the Companies' plant models, which resulted in an overall decrease in net plant in service and an associated decrease to depreciation expense from the KEDNY and KEDLI's Exhibit___(RRP-7CU), Schedule 1, Page 4.

Q. Please summarize the Panel's remaining recommendations.

A. We have additional recommendations concerning the Capital Investment Reconciliation Mechanisms, and further Reporting Requirements, all of which we address in greater detail later on in our testimony.

Q. Did you provide your adjustments to the Staff Revenue Requirements Panel?

A. Yes. We provided the average net plant in service balance, the associated annual depreciation expense, our recommended O&M expenses and our FTE adjustments to the Staff

Revenue Requirements Panel.

Q. In your testimony will you refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes. We will refer to various IR responses throughout our testimony. All of the IR responses are included in Exhibit___(SGIOP-1).

Q. Are you sponsoring any additional exhibits?

A. Yes. We are sponsoring the following additional exhibits:

Exhibit___(SGIOP-2) – contains an analysis of the Gas CapEx Variances;

Exhibit___(SGIOP-3) - contains a comparison of the Companies' Actual, Budget and Forecast versus the Panel's Forecast Capital Investment Graphs;

Exhibit___(SGIOP-4) – contains a Summary of the Panels' CapEx Adjustments by Budget Category;

Exhibit___(SGIOP-5) – contains a Summary of the Monthly Net Plant Results;

Exhibit___(SGIOP-6) - contains the Plant Model Results Comparison;

Exhibit___(SGIOP-7) contains a Summary of the Panel's O&M adjustments; and,

Exhibit___(SGIOP-8) – contains a Summary of the Panel's FTE adjustments.

**Review of the Capital Budget**

Q. Please explain the scope of the Panel's review of the proposed CapEx programs and projects.

A. We recommend a level of capital spending for the Rate Year and, therefore, reviewed all of the plans and projects from the beginning of the historic test year (HTY) through FY 2021, or the Rate Year. We then incorporated those adjustments into the plant in service model. We also reviewed and make recommendations concerning the CapEx budgets for the Data Year or FYs 2022, 2023 and 2024.

Q. Please explain how Department Staff typically conducts a capital investment review during a rate proceeding.

A. Staff typically reviews how a company plans and controls its major capital expenditures by reviewing and evaluating the company's processes and procedures. We also evaluate whether the company is pursuing its budget priorities with sufficient oversight from the Board of

Directors, with executive management, and then measuring the project's progress during the year. We also analyze how load forecasting impacts capital planning by addressing current and future loads.

Q. Please describe how the capital budgeting process should be performed.

A. The capital budgeting process should be both a top-down and bottom-up process. The top-down perspective should represent the strategic goals and objectives for the utility and be incorporated into both the capital and O&M budgets. The company should incorporate these strategic goals and objectives in the planning process. The bottom-up budgeting consists of identifying capital requirements on a project-by-project basis at the departmental level. Ultimately, capital budget development should primarily consist of a bottom-up assessment of system needs giving due consideration to top-down financial considerations.

Q. Please explain how the approval process functions within the capital budgeting process.

A. The approval of the capital budget by the Board

of Directors should not constitute authorization to proceed on the individual projects. Project managers should complete design engineering and preparation work to be submitted for formal budget approval, which should then be followed by a funding authorization. Our review looks to determine whether this process is being followed. After the authorization is granted, the company should closely track, on a monthly basis, the actual expenditures for each project to the initial authorized planned expenditures. Variance reports should provide sufficient detail as to why projects are over- or under-spent, or if there exists a need for a project with a greater priority to supersede the need for spending on any other particular project. Management should closely track the company's expenditures and inform the Board of Directors on a timely basis of any issues that come to management's attention.

Q. What capital planning information did the Panel review in these proceedings?

A. We reviewed the processes and procedures used by the Companies, including historic expenditures,

forecast expenditures, and changes to O&M expenses related to changes to the forecast expenditures. We believe the Companies are required to justify each and every capital program or project, and related projected O&M change.

Q. Please explain why the Panel conducts a historical review of expenditures.

A. The purpose of a historic review is two-fold. It provides insight as to the company's capital spending performance and it is a final review of actual expenditures before they are incorporated into rate base.

Q. What does the Panel request from a company to conduct a historical review?

A. We expect that, on the day a company files its rate case, it will provide the actual and budgeted CapEx amounts for the last five historic years, including the HTY, in aggregate and, for mass activities, by blanket project grouping or otherwise by specific project. Historic budgeted expenditure levels should be the levels approved by the company's Board of Directors for each historic period. We expect

that the reporting format stay consistent from year to year. We also expect in a rate case that the company will be able to provide a full descriptive analysis to detail for each project line item, by year, whether project schedule slippage, scope change, cost variance, or a combination thereof was the basis for a deviation from budget.

Q. Please explain how the Panel typically reviews a company's forecast CapEx budget.

A. We review each CapEx project or blanket grouping by its associated line item. We review: (i) a fully detailed description, including all studies and alternative analyses, on a project- or program-specific basis; (ii) a justification of project expenditures and budgets; (iii) the current construction schedule, with major milestones and in-service dates included; (iv) the project- or program-specific cost/benefit analysis; and (v) the associated corporate management project authorization or sanction papers.

Q. Why is the review of this information important?

A. Review of the documentation provided by the

utility is how we verify that a company developed its plans to spend its capital budget in the best interest of customers.

Q. Does the Panel also review the related and potential O&M costs and savings associated with the forecast capital expenditures?

A. Yes. We typically review by program or project, either aggregated by blanket or individual project, each O&M program change in line with the capital plan. We also typically ask for and review a detailed description of the related O&M program; the related actual and budgeted O&M expense amounts for the last five historic years by program; the related O&M expense for both actual and planned units of work completed on annual basis for the last five years; a justification for the related O&M program change; a cost breakdown of the related O&M expense; and, the planned units of related O&M expense work to be completed in future annual periods.

Q. Why is documentation of O&M expenditures necessary and important?

A. Like the forecast CapEx documentation, there are

typically impacts to O&M expenses when changes to the capital budgets are made. Without this documentation, we cannot be sure that the associated forecast O&M costs are appropriate in the Rate Year.

Q. How will the Panel address the Companies' capital expenditures in their "five year forward look" capital plan?

A. We will discuss our historical review and our review of the forecast.

**Historical Review**

Q. Did the Panel review the Companies' historical CapEx variance reports?

A. Yes. We reviewed the Companies' responses to IR DPS-084, which provided the Companies' FY 2014 through FY 2018 history of planned and actual gas capital expenditures by grouping and in total. We also reviewed the CapEx quarterly reports filed with the Secretary to the Commission in Cases 16-G-0058 and 16-G-0059 that detailed the Companies' calendar year history of planned and actual capital expenditures by grouping and in total, and the Companies'

response to IR DPS-914, which shows the most recent CapEx variance reports for FY 2019.

Q. What did the Panel learn from its analysis of this data?

A. We made several observations. First, the Companies consistently sort their capital expenditures into categories depending on the overall objective of the project. The four primary categories include Customer Connections, Mandated, Reliability, and Non-Infrastructure. Second, the average annual increase in capital expenditures between FYs 2017 and 2019 was 23.8 percent and 22.2 percent for KEDNY and KEDLI, respectively. Lastly, we observed that there are always variances between the Companies' capital budgets and the amount expended in any given year.

Q. Can you briefly explain some of the variances that you observed in the variance reports?

A. Yes. As shown in Exhibit___(SGIOP-2), which was developed using the Companies' response to IR DPS-084 and DPS-914 , there were instances of significant variances between planned and actual spending. Our variance analysis shows that the

Companies consistently over-estimated their budgets for some accounts. An example of a budget category that is typically over-estimated, as shown graphically in Exhibit___(SGIOP-3), is the Gas Reliability budget where in FY 2017 through FY 2019 KEDNY had the following variances: -36 percent, -30 percent, and -18 percent, respectively; and KEDLI had the following variances: –23 percent, -21 percent, and –36 percent, respectively.

**Capital Budgeting Process**

Q. Explain how the Companies generally develop their annual CapEx budgets.

A. Each year, as explained in the Companies' Gas Infrastructure and Operations Panel Direct Testimony, the Companies develop a ten-year capital plan. The process begins with the Companies compiling proposed spending for programs and individual capital projects. These programs and projects are categorized into one of four spending rationales (Customer Connections, Mandated, Reliability, Non-infrastructure).

Q. How do the Companies determine which programs and projects to include in their capital plans?

A. The Companies are currently using a tool, C55, for the prioritization and optimization of capital investments. This tool uses a risk scoring and prioritization methodology to optimize the gas investment portfolio. After the Companies rank the investments in C55, meetings are scheduled with budget sponsors to review value models, project rankings, and various scenarios produced throughout the optimization of investments to meet capital planning targets.

Q. After the capital plan is complete, who approves it?

A. The New York Jurisdictional President – currently, Company Witness John Bruckner - and the Vice President, Finance, New York - currently, Company Witness David Doxsee – review the capital plan in late fall. The New York Jurisdictional President reviews the overall customer, service quality, and financial impacts of the investment plan as part of the business planning process and may request changes to the

level or mix of investments. In early winter, the capital plan is presented to the National Grid USA Board of Directors and the National Grid plc Executive Committee. In early spring, the capital portfolio is presented to the National Grid plc Board of Directors for review and approval.

Q. Are additional approvals needed before a project in the annual capital plan may proceed?

A. Yes. Specific delegation of authority approval must be obtained for any project in the capital plan to proceed. The delegation of authority approval process includes the sanctioning documentation and review for projects over $1 million. Smaller projects under $1 million do not require sanctioning and are approved through a supervisory delegation of authority hierarchy based on certain established thresholds. Projects with estimated costs between $8 million and $25 million are reviewed and approved by the U.S. Sanctioning Committee. Projects with estimated costs between $25 million and $203 million are reviewed by the U.S. Sanctioning Committee and then forwarded to the Senior

Executive Sanctioning Committee for review and approval. For projects between $1 million and $8 million, the U.S. Sanctioning Committee delegates review to an informal committee led by the Investment Planning group and includes, but is not limited to, managers and directors from the regulatory, estimating, asset management, and procurement groups.

Q. What is the sanctioning process?

A. The sanctioning process identifies the appropriate spending levels, by specific programs or projects. Sanction papers provide cost and project details, as well as potential alternatives and the ramifications of those alternatives so that the Companies can make informed decisions regarding capital forecasts and associated adjustments.

Q. How does the sanctioning process affect Staff’s review of the capital plan?

A. Without sanction papers, it is difficult for Staff to appreciate whether the Companies’ capital forecasts reflect its true need for investment, if alternatives were considered, if the most appropriate project was selected, and

whether cost estimates included in the budget are reasonable. The Companies state that the timing of the sanctioning process is not aligned with the capital planning process used to forecast the Rate Year forecast. Projects are normally sanctioned immediately prior to the FY in which the investment is planned, whereas capital budgets are developed on a longer term investment plan. Consequently, sanctioning papers have not yet been developed for all projects included in the capital plan. Due to this timing difference, there are cases where we support certain projects or programs but are skeptical of the cost estimates provided.

**Overview of KEDNY's and KEDLI's Capital Budgets**

Q. Summarize the Companies' historic capital investments for the most recent five FY period between 2015 and 2019.

A. According to the Companies' responses to IRs DPS-084 and DPS-914, KEDNY spent approximately $345.484 million, $450.042 million, $474.405 million, $662.196 million, and $715.456 million during FYs 2015 through 2019, respectively.

KEDLI spent approximately $226.309 million, $245.677 million, $252.397 million, $310.179 million, and $377.120 million during FYs 2015 through 2019, respectively.

Q. Describe the capital spending plan the Companies proposes for the period 2021 through 2024.

A. As shown in Exhibit___(GIOP-1CU), of the Companies' Corrections and Updates Testimony filed on July 3, 2019; KEDNY proposes spending levels of $770.371 million, $916.275 million, $895.145 million, and $940.102 million for FYs 2021 through 2024, respectively. KEDLI proposes spending levels of $528.979 million, $550.887 million, $549.611 million, and $587.513 million for FYs 2021 through 2024, respectively.

Q. Do the Companies assume that the North East Supply Enhancement (NESE) Project will be constructed?

A. Yes.

Q. Has the Staff Policy Panel instructed you to make recommendations assuming that the NESE Project will not be available?

A. Yes.

Q. Did the Companies provide additional testimony

explaining how the instant cases would be impacted if the NESE Project was further delayed or not constructed?

A. The Companies filed supplemental testimony on June 11, 2019 that detailed how their cases would change under a delayed or no NESE Project scenario.

Q. Describe the capital spending plan the Companies propose for the period FY 2021 through 2024 assuming the NESE Project is not constructed.

A. As shown in Company Exhibit___(GIOP-1S), KEDNY proposes spending levels of $814.488 million, $749.925 million, $754.556 million, and $823.624 million for FYs 2021 through 2024, respectively. KEDLI proposes spending levels of $423.612 million, $426.838 million, $432.378 million, and $452.766 million for FYs 2021 through 2024, respectively. The adjustments the Companies made to their budgets due to the NESE Project not being constructed are discussed in more detail later in our testimony.

Q. How are the Companies' CapEx investment plans categorized?

A. The Companies' forecast gas capital investments

are categorized into four spending rationales: (1) Growth; (2) Mandated; (3) Reliability; and (4) Non-Infrastructure.

Q. How did the Panel review the Companies' capital forecasts for the Rate Year, and FYs 2022 through 2024?

A. We reviewed the testimony, exhibits, and IR responses. We then held technical conferences, interviewed witnesses, and issued additional IRs.

Q. What are the Panel's recommendations regarding the Companies' forecast capital investment plans?

A. We generally support the Companies' plans, but recommend specific adjustments, including reductions associated with the NESE Project's unavailability during the Rate Year, to each of the budget categories, as explained further on in our testimony.

**Customer Connections Category**

Q. Please summarize the Companies' Rate Year forecasts for the Customer Connections category.

A. As shown in Exhibit___(GIOP-1CU), the Companies'

forecast for Customer Connections is the sum of the installation of main, services and meter/regulators, minus customer contributions, meter purchases, AMR, gas system reinforcement, and other specific projects associated with customer connections. The total Customer Connections category forecasts shown in the Companies' Corrections and Updates for the Rate Year are approximately $80.61 million and $113.89 million for KEDNY and KEDLI, respectively.

Q. Explain how the Companies developed their Customer Connection budgets.

A. The Companies' response to IR DPS-347 described how the Companies developed their capital budgets for Customer Connection category. The Companies stated that the budget for each line item under the Customer Connections category with the exception of "Contributions and Gas System Reinforcement," is the product of forecast units multiplied by unit costs. The unit costs are based on a two-year average escalated at 2.5 percent per year. The Companies' response to IR DPS-347, Attachments 1

and 2, provided the estimated units and unit cost for KEDNY and KEDLI from FY 2020 through FY 2024, respectively. Attachment 3 shows the development of unit costs using a two-year average of historic years actual spends from FY 2017 and FY 2018 as the basis then escalated by a 2.5 percent annual inflation rate for all cost types except contractors, which utilized a 3 percent annual inflation rate. This product was then divided by the two-year average of the units from FY 2017 and FY 2018 to develop unit costs as basis for forecasting. The forecast units for each line item under Customer Connection are based on various factors that impact the number of new connections including: (1) anticipated changes in various market segments, (2) project inventories, (3) any rate/regulatory changes, (4) system constraints, and (5) other external factors, such as fuel pricing, economic conditions, and new building forecasts.

Q. Have the Companies proposed to increase their Customer Connections category budget as compared to their historic investment plans?

A. KEDLI proposes an increase, but KEDNY does not.

Q. Please explain KEDLI’s changes.

A. KEDLI proposes to increase its spending for many of the items in the Customer Connection category, which results in significant increases to the total customer connections budget, which we summarized in Exhibit___(SGIOP-3). KEDLI’s annual average expenditures budgets for the Customer Connection category over the past five FYs, 2015 through 2019, was $101.850 million. For the past three FYs 2017 through 2019, the annual average actual expenditures was $92.359 million. KEDLI proposed a Rate Year Customer Connection category budget of $113.89 million, which is an approximate 12 percent increase over KEDLI’s five-year annual average expenditure from FY 2015 through FY 2019, and an approximately 23 percent increase over the three-year actual annual average expenditures from FY 2017 through FY 2019.

Q. Did the Companies file supplemental testimonies to address the scenario that the NESE Project will not be available in the Rate Year?

A. Yes.

Q. Describe the Customer Connections CapEx plan the Companies propose for the Rate Year assuming the NESE Project is unavailable in the Rate Year.

A. As shown in Company Exhibit___(GIOP-1S), KEDNY proposes budgets of $34.531 million and KEDLI proposes $29.013 million. In addition, KEDNY requests $520,000 for the Jamaica Inlet Project in the Rate Year to resolve an existing low inlet pressure situation without the NESE Project. Originally, this situation could be resolved by the incremental NESE Project capacity.

Q. If the NESE Project is unavailable in the Rate Year, does the Panel propose any adjustments to the Customer Connections budget?

A. Yes. We recommend two adjustments: (1) the unit costs for the install main, install service, meter purchase, install meter/regulator and AMR should be developed using a three-year average, and (2) the Gas System reinforcements should be reduced by 75% for the level projected in corrections and updates. Based on our review, we recommend a downward adjustment of $50.506 million and $92.545 million for KEDNY and KEDLI,

respectively, in Rate Year, as shown in Exhibit___(SGIOP-4).

Q. Please explain why the Panel recommends using a three-year average to project unit costs.

A. For KEDNY, we found that the main unit cost increase for the most recent years was premised on the City of New York's (NYC) new restoration and paving requirements. Although we believe a two-year average unit costs seems reasonable, the new requirement only became effective in April of 2017, and thus cost increases associated with the new requirement could not be fully captured in 2017 results. In addition, based on the Companies' two-year average we found the unit costs (except Install Meter/Regulator) for KEDNY are too low but the unit costs for KEDLI appear high (except Install Main Commercial, Tariff Main, Install Meter, and Meter Purchase). More specifically, we believe the Companies did not accurately reflect the new costs associated with the NYC requirement by using a two-year average of FY 2017 and FY 2018.

Q. What does the Panel recommend for developing unit costs?

A. We recommend using a three-year average from FYs 2017 to 2019. We believe using a three-year average including 2019 data would more reasonably and accurately reflect the increase in unit costs due to NYC's new paving requirements.

Q. When the Panel used a three-year average cost, what were the results?

A. As shown in Exhibit___(SGIOP-4), we multiplied the three-year average unit costs with escalating inflation by the Companies forecast units for each of the budget line items, however, we also removed Clean Choice Program Main and Service from KEDLI's Capital budget under Customer Connection as recommended by Staff Policy Panel. This resulted in a decrease of $38.187 million and $75.847 million for KEDNY and KEDLI for the budget items projection be based on units and unit costs under Customer Connection category, respectively.

Q. Does the Panel agree with the Companies' Gas System Reinforcement budget under the Customer Connection Category assuming the NESE Project is not available in the Rate Year?

A. No.
Q. Please explain.
A. We reviewed the Companies' supplemental filings and their response to DPS-723, which reduced the budget of Gas System Reinforcement for both KEDNY and KEDLI by 25% in FY 2020, by 50% in FY 2021, and 75% in FY 2022 through FY 2024. The Companies' response to DPS-996 also indicated that the Companies' was applied a percentage reduction to the blanket reinforcement program based on assumed reductions in new customer connections without the NESE Project. The Companies could not provide supporting documentation or workpapers to support how these reductions or the percentage used to reduce the program budgets were developed.
Q. As of mid-May 2019, have the Companies attached customers to their distribution systems?
A. Except for KEDNY's Staten Island service area, the Companies have stopped adding new firm customers due to the NESE Project being unavailable, which means only those firm customers who submitted an application prior to May 16, 2019 have or will be added to the

system.

Q. Typically, how are reinforcement projects developed.

A. The Companies project a level of customer connections and if those connections result in pressure problems, the Companies develop projects to address the concerns.

Q. If the Companies are generally not attaching customers, should their reinforcement projects be reduced?

A. Yes. We believe the reinforcement projects that are needed to support these additional loads will most likely be curtailed; beyond the Companies estimate.

Q. What does the Panel recommend the Gas System Reinforcement budget assuming the NESE Project is not available in the Rate Year?

A. We recommend to reducing the Companies proposed Reinforcement budget for both KEDNY and KEDLI by 75% in the Rate Year. Given the situation just discussed, a 25 percent further reduction should enable the Companies to continue to provide safe and reliable service to existing firm customers in the Rate Year. This results in a decrease of

$10.231 million and $16.079 million for the Gas System Reinforcement budget for KEDNY and KEDLI, respectively.

Q. Summarize the Panel's adjustments assuming the NESE Project is unavailable in the Rate Year.

A. We used the three-year average unit costs with escalating inflation multiplied by the Companies forecast units considering the NESE Project is unavailable, which the Companies provided in their response to DPS-948. This would result in downward adjustments of $38.187 million for KEDNY and $75.847 million for KEDLI in Rate Year.also informed us that the Clean Choice Programs should be eliminated. These changes result in an upward adjustment of $8.773 million for KEDNY and a downward adjustment of $22.044 million for KEDLI, respectively, to the Companies Rate Year corrections and updates budgets, as shown in Exhibit___(SGIOP-4).

**Mandated Category**

Q. Please describe the Mandated category, and the Companies' spending forecasts for this category.

A. The Mandated spending category includes the

projects and programs needed to comply with regulatory obligations, to coordinate with third party projects, and to meet commitments of capital investments to further enable the safe operation of the system. The mandated section comprises the largest portion of the Companies' capital budgets, representing approximately three quarters of KEDNY's total budget, and half of KEDLI's total budget. Some of the projects and programs included are the City/State Construction (CSC) or Public Works projects, corrosion control program, and the proactive and reactive main and service replacement programs. The mandated category also includes pipeline integrity management program (IMP) and integrity verification program (IVP), numerous inspection and maintenance programs, the programs to manage the Companies' inventory of customer gas meters, among others.

Q. What levels of spending do the Companies propose for the mandated program?

A. As shown in the Companies' corrections and updates testimony Exhibits___(GIOP-1CU), the Companies' forecast total Mandated Rate Year

expenditure levels of $625.472 million and $287.365 million for KEDNY and KEDLI, respectively. The largest expenses in this category for KEDNY are the CSC/Public Works program, and the Main Replacements (Proactive)-Leak Prone Pipe programs (LPP Program). Together, these two programs account for 86 percent of the expenses in KEDNY's Mandated category. The largest expense for KEDLI is related to Main Replacements (Proactive) - Leak Prone Pipe (LPP program), which accounts for 82 percent of the expenses in KEDLI's Mandated category. Other significant programs for KEDLI include CSC/Public Works, the IMP, and the Contractor Safety Inspector Program.

Q. Have the Companies proposed to increase spending in the mandatory category from levels established in its previous capital investment plans?

A. As shown in Exhibit___(SGIOP-3), the Companies are proposing continuously increasing levels of spending for the mandated category. Compared to the three year average of actual expenditures in FYs 2017 through 2019, the Companies' Rate Year

proposals are 41 percent, and 47 percent higher for KEDNY and KEDLI, respectively. The major drivers of the increases are escalating unit costs associated with main installation and replacement, increases in work load, and new programs.

Q. Did the Companies provide any updates to their Mandatory capital expenditures for the Rate Year, considering the potential impacts of the NESE Project being unavailable?

A. Yes. In their updated Exhibit___(GIOP-1S), KEDNY and KEDLI made downward adjustments of approximately $0.09 million and $0.63 million, respectively, which represent minor reductions in the Contractor Safety Inspections programs in the Rate Year.

Q. Does the Panel recommend adjustments to the mandatory capital investments?

A. Yes.

Q. Does the Panel’s recommendations assume the construction of the NESE Project?

A. No. Our recommendations are based on other factors as discussed below.

**Unit Cost Increases**

Q. Please briefly explain the escalating unit costs KEDNY is experiencing.

A. KEDNY's cost to install gas main has been impacted by new paving and restoration regulations enacted by the New York City Department of Transportation (NYCDOT). As described in the Companies' response to IR DPS-244, the new requirements increase the scope of work KEDNY is required to perform anytime it performs excavations. The larger scope of work includes larger restoration areas, more expensive materials, and different removal methods such as saw-cutting roadways instead of less expensive methods like jackhammering. KEDNY implemented the new requirements on April 1, 2017.

Q. How have these new requirements impacted KEDNY's budgets?

A. As expected, the new requirements have led to increases in the unit costs to install and replace new gas main. For every linear foot of gas main the company installs or replaces, it now must perform additional work. This has led

to higher total budgets for KEDNY's programs which include main installation and replacement.

Q. Is KEDLI also affected by these regulations?

A. Not significantly. KEDLI is not affected as significantly by the NYCDOT Regulations because most of its service territory lies outside of the NYCDOT jurisdiction.

**City and State Construction**

Q. Please explain the CSC Program.

A. The CSC Program consists of main replacement work and support and protect work which is required to accommodate public work projects including work on water, sewer, and drainage infrastructure, street reconstruction, and bridge replacement projects, among others. These public work projects are implemented by outside parties including the City of New York (NYC) and various municipalities on Long Island. Company procedures require the replacement of any main that is in direct conflict with a public work project, as well as any 8" or smaller cast iron main which is not in direct conflict, but whose integrity may be compromised

by the project. Other pipe such as plastic pipe, which is not in direct conflict but may be compromised by a project is supported and protected during construction activities. The Companies do not dictate what projects are done by NYC and municipalities on Long Island, and s they do not have complete cost control over these program's budgets.

Q. How do the Companies develop their budgets for this program?

A. KEDNY and KEDLI take different approaches to develop the CSC budgets. As explained in the Companies' response to IR DPS-352, KEDNY uses the NYC's construction budget as a basis to estimate its CSC program budget. More specifically, KEDNY uses a 20% spending ratio of the NYC Department of Design and Construction's budget as its estimate for this program. KEDNY then adds expected incremental paving and restoration costs and allocates the total program budget between the Non-Reimbursable and Reimbursable budgets based on NYC's reimbursement projections. In addition, KEDNY separates any uniquely large projects it is

aware of and develops a cost estimate for these projects separate and apart from the general CSC budget. These specific project estimates are in addition to the general CSC budget. An example of this is the SE856 project which KEDNY has budgeted an additional $40 million for in the Rate Year as shown on Exhibit___(GIOP-1).

Q. Does the Panel agree with KEDNY's methodology?

A. Yes, we agree as this methodology is reasonable based on the nature of this program as supporting projects in NYC and Long Island, as well as, the level of historical expenditures.

Q. Does the Panel recommend any adjustments to KEDNY's proposed Rate Year budget for the CSC program?

A. Yes. We recommend a downward adjustment in the Rate Year of $24.773 million from $279.773 million to $255 million.

Q. Explain why the Panel proposes this adjustment.

A. While we agree with KEDNY's methodology of using NYC's construction budget to estimate the CSC budget, we do not agree with adding expected incremental paving and restoration costs to the budget.

Q. Explain why the incremental paving and restoration costs should be excluded.

A. KEDNY's new paving requirements were fully implemented on April 1, 2017 and so the costs experienced in FY 2018 are indicative of the level of spending incurred by the new requirements. KEDNY's actual CSC expenditures in FY 2018 were 17% of NYC's construction budget. We, therefore, propose a total CSC budget of $255 million, which is 20% of NYC's Rate Year construction budget of $1.275 Billion. We contend that the additional incremental funding on top of this is unnecessary. In addition, KEDNY currently utilizes a reconciliation mechanism which protects KEDNY from excessive expenditures above and beyond its budget. This true up mechanism is discussed in more detail later in our testimony.

Q. What is KEDLI's CSC budget proposal for the Rate Year?

A. KEDLI proposes a total CSC budget of $10.878 million in the Rate Year.

Q. Does the Panel recommend an adjustment to KEDLI's CSC budget in the Rate Year?

A. Yes. We propose a total downward adjustment of $3.746 million in the Rate Year for KEDLI’s CSC budget.

Q. Explain why the Panel proposes this adjustment.

A. As previously mentioned, KEDLI takes a different approach to estimating the CSC budget than KEDNY. KEDLI states in the response to IR DPS-761 that it develops its CSC budget by taking a three-year average of historical expenditures and adds inflation to forecast the Rate Year budget. KEDLI takes this approach because their CSC expenditures have been relatively stable in recent years. The average total expenditures for KEDLI's CSC category for FY 2017 through FY 2019 is $6.860 million. Adding inflation using the same inflation factor the Companies use to inflate other expenses from the HTY to the Rate Year, as seen in Exhibit___(RRP-8CU), to inflate the majority of its expenses results in our Rate Year forecast of $7.131 million. This results in the downward adjustment of $3.746 million.

**Leak Prone Pipe**

Q. How have the Companies developed the Rate Year budget for their Proactive Main Replacement - Leak Prone Pipe Program?

A. As explained in the Companies' responses to IRs DPS-494 and DPS-597, the Companies used the unit costs experienced in FY 2018 and applied annual inflation factors to arrive at a projected Rate Year unit cost. The Companies then applied this unit cost to the projected mileage of Leak Prone Pipe abandonment.

Q. Does the Panel agree with this method?

A. Yes, this method is reasonable as the costs incurred in FY 2018 are indicative of the escalated unit costs associated with new paving requirements.

Q. Does the Panel agree with the Companies' proposed unit prices for the LPP program?

A. We do not agree with Companies' proposed unit prices for the LPP program because we disagree with assumptions made in the calculation of the unit prices in the Rate Year. More specifically, we disagree with the inflation factor the Companies use to arrive at the Rate

Year unit prices. KEDNY and KEDLI both propose an annual rate of 2.5 percent on all price components except for contractor costs. KEDNY proposes an annual rate of 3 percent for contractors. KEDLI proposes inflating 60 percent of the contractor costs by 10.5 percent, and the remaining 40 percent by 2.5 percent. Both proposals result in a significantly higher budget, as these rates are far greater than those the Companies use to inflate other expenses throughout their operations.

Q. What does the Panel propose?

A. We recommend using the same inflation factor, 3.957 percent, the Companies use to inflate other expenses from the HTY to the Rate Year as seen in Exhibit___(RRP-8CU). This results in a downward adjustment of $5.99 million in the Rate Year for KEDNY, and a downward adjustment of $10.027 million in the Rate Year for KEDLI.

**New Programs**

Q. Are the Companies proposing any new programs in their mandatory capital program budgets?

A. Yes, the Companies are proposing several new

programs. Some of these include the Contractor Safety Inspection program, the Plastic Fusion QA/QC Re-Digs, the Low Pressure Main Valve Installation, and the Transmission Station Integrity Programs.

Q. Please explain the Contractor Safety Inspection program?

A. Through the Contractor Safety Inspection program, the Companies propose to hire a significant number of new employees to support increased on-sight supervision of contractors.

Q. Did the Staff Pipeline Safety Panel recommend adjustments to the Companies' proposals that impact the new programs?

A. Yes. The Staff Pipeline Safety Panel made recommendations that impact the following programs: Contractor Safety Inspections, Low Pressure Main Valve Installation Program and the Buried Vent Line Program.

Q. Please explain the changes to these programs.

A. The Staff Pipeline and Safety Panel made the following adjustments: a reduction of two inspectors for KEDNY and a reduction of one inspector for KEDLI. We reduced the capital

budgets for these programs accordingly. Additionally, the Staff Pipeline Safety Panel recommended that the Low Pressure Main Valve Installation Program and Buried Vent Line Programs be removed from the Capital budget and funded through other means as explained in their testimony. In conjunction with the Staff Pipeline Safety Panel's recommendations, we reflected the removal of these programs from the Companies' CapEx budgets accordingly.

Q. Does the Panel propose any adjustments to the new programs in addition to those recommended by the Staff Pipeline Safety Panel?

A. Yes. We propose adjustments to the Plastic Fusion QA/QC Re-Digs program, and to the Transmission Station Integrity Program.

Q. Please explain the Plastic Fusion QA/QC Re-Digs program?

A. The Companies are implementing this program in response to the Commission's Order in Case 14-G-0212. The Commission required the Companies develop a QA/QC program which includes a statistically significant number of random checks on plastic fusion work that has been

completed.

Q. What is the scope of the Companies' proposed program?

A. The Companies propose an annual sample size of 200 inspections, or Re-Digs, where they will re-excavate completed work and perform a QA/QC inspection on the plastic fusion weld. The associated reporting requirements of this program are laid out in the Commission's Order.

Q. What are the proposed costs associated with this program?

A. The Companies propose capital budgets of $3.25 million and $0.974 million for KEDNY and KEDLI respectively. The Companies state the budgets are based on unit prices of $15,000 and $3,335 per re-excavation inspection for KEDNY and KEDLI, respectively. The unit costs are multiplied by the number of re-digs planned to develop the budget.

Q. Does the Panel propose an adjustment to these budgets?

A. Yes. We propose the budget be calculated using the Companies' unit prices and projected number of inspections. This results in program budgets

of $3 million and $0.667 million for KEDNY and KEDLI, respectively. Our recommendation results in downward adjustments of $0.250 million and $0.307 million for KEDNY and KEDLI, respectively. The Companies did not justify their proposed budget in excess of a total budget based off the unit price and number of inspections.

Q. Please describe the Transmission Station Integrity Program.

A. The Transmission Station Integrity Program is a new program the Companies are proposing to address anticipated regulations that are expected to be issued prior to the Rate Year by the Pipeline and Hazardous Materials Safety Administration (PHMSA). The program is similar to their IVP, but it addresses transmission connected Pressure Regulating Stations and Take Stations. The program will review records associated with these stations, and where records are inadequate to demonstrate stations are fit for service, the program will provide capital investments for station rehabilitation projects and station replacement projects. The

Companies budgets include funding for the IVP review of station records and funding for the design of capital projects for two transmission stations each year which will be completed once the program is fully implemented by Data Year 1.

Q. Does the Panel propose any adjustments to this program?

A. Yes. In the Companies' responses to IRs DPS-922 and DPS 923, KEDNY and KEDLI indicate that this program is just ramping up. The Companies are in the process of reviewing records associated with transmission stations and have not yet identified any specific projects that need to be rehabilitated or replaced. Consequently, we propose to delay the funding associated with the detailed design phase until specific projects are identified and prioritized appropriately. This results in a downward adjustment of $2.820 million for both KEDNY and KEDLI in the Rate Year.

Q. Does the Panel propose adjustments to any other mandated programs?

A. Yes. We propose adjustments to the following programs: Main Replacements (Reactive), Service

Replacements – Proactive, Service Replacements – Leaks, and Service Replacements – Non-Leaks.

Q. Please Explain these adjustments.

A. In their response to DPS-761, the Companies provided their methodology for developing the budget for each capital program. The Companies indicate these programs are developed using a two-year average of actual expenditures plus inflation. The panel calculated the most recent 2 year average of actual expenditures and inflated it using the same inflation factor of 3.957 percent which the Companies use to inflate other expenses from the HTY to the Rate Year as seen in Exhibit___(RRP-8CU). The resulting adjustments are reflected in staff Exhibit___(SGIOP-4).

Q. Please summarize your overall adjustments to the mandatory budget category.

A. Our proposed adjustments in the mandated category result in total downward adjustments in the Rate Year of $37.635 million to KEDNY and $18.318 million to KEDLI.

**Reliability Category**

Q. Summarize the Companies' proposed Reliability category forecast for the Rate Year.

A. As shown in Exhibit___(GIOP-1), the Companies' forecast total Reliability Rate Year CapEx of $200.47 million and $141.12 million for KEDNY and KEDLI, respectively. The reliability portion of the Companies' capital investment plan is comprised of several different categories, with the largest expenses for KEDNY related to Pressure Regulating Facilities, liquefied natural gas (LNG), Metropolitan Reliability Infrastructure (MRI), Storm Hardening-Remote Service Shutoff Valves, and remote-controlled valves. The largest expenditures for KEDLI are comprised of the Pressure Regulating Facilities, LNG, Northwest Nassau Transmission Main and Control Valve, Storm Hardening-Remote Service Shutoff Valves, and remote-controlled valves programs.

Q. Did the Companies update their Reliability capital expenditures for the Rate Year?

A. Yes. In their updated Exhibits___(GIOP-1CU), the Companies updated their total Reliability

expenditure levels to $139.85 million and $161.76 million for KEDNY and KEDLI, respectively. The observed variance between KEDNY's updated and initial filing reflects updates to: the MRI project, including accelerating the schedule, reallocation between the phases, and an approximate $4.9 million reduction in the remaining project forecast; the Greenpoint LNG projects, which entails deferring approximately $35.1 million for the Salt Water Pump House Project and the Vaporizers 7 & 8 Projects from the Rate Year to the Data Years; and, the Gas Control Training Simulator Training Project because the Companies believe this project should be a Service Company asset and KEDNY removed the costs from its direct capital investment plan. The observed variance between KEDLI's updated and initial filing reflects updates to: the Northwest Nassau Transmission Main Project, including delays in the project schedule and an increase in the project costs; and, the Gas Control Training Simulator Training Project because the Companies believe this project should be a Service Company asset and

KEDLI removed the costs from its direct capital investment plan.

Q. Does the Panel support the changes made in this correction?

A. Yes. However, we are concerned with the Companies' ability to accurately schedule projects, and contractor resources. KEDNY cited a re-evaluation of project schedules and contractor resource availability as reasons for deferring the Salt Water Pump House Project and the Vaporizers 7&8 Projects. These projects have been previously deferred and this is indicative of a trend in the reliability category of deferring projects and underspending the total reliability budget.

Q. Does the Panel believe it was appropriate to remove the Gas Control Training Simulator from the capital investment plans?

A. Yes. This program benefits all National Grid gas distribution companies in New York and New England and is more properly reflected as a Service Company asset.

Q. Did the Companies provide any updates to their Reliability capital expenditures for the Rate

Year, considering the potential impacts of the NESE Project being unavailable?

A. In their updated Exhibit___(GIOP-1S), KEDNY made a downward adjustment of approximately $1.0 million for the removal of the Marine Park Regulator Station Project from the Rate Year. KEDLI did not propose any adjustments to the Reliability capital expenditures for the Rate Year.

Q. Have the Companies proposed spending increases to the Reliability category, in their corrections and updates testimony, compared to its previous capital investment plans?

A. Yes. The Companies have proposed increasing their spending for many programs and projects in the Reliability category, which has resulted in significant increases to the total reliability budget for each Company. As can be seen from Exhibit___(SGIOP-2), the Companies' annual average actual reliability expenditures over the past three historical FYs, from 2017 through 2019, were $81.1 million and $41.7 million for KEDNY and KEDLI, respectively. The proposed budget for the Reliability categories in the

Rate Year, considering the no NESE scenario, are $138.8 million and $161.8 million for KEDNY and KEDLI, respectively. This is an increase of $57.7 million or 171 percent for KEDNY, and $120.1 million or 388 percent for KEDLI.

Q. Further explain the increases in the Reliability category.

A. The Reliability category for both Companies is comprised of multiple annual expenditure programs and numerous unique projects. Together, they form the comprehensive approach the Companies take to maintain safe and reliable service on the system. The Companies propose significant increases to a number of their annual programs including the Pressure Regulating Facilities Program, Heater Installation Program, Gas Planning/Remote Control Valves (RCV) Program, and System Automation Program.

Q. Explain how the Companies developed their Reliability budgets.

A. The Companies' response to IR DPS-761, Attachment 1, describes the methodology the Companies used to develop their capital budgets

for the Reliability category. For KEDNY, the majority of the programs and projects in the Reliability category, 81 out of 85, utilize program/project estimates to develop their Rate Year forecast, with the remaining four programs/projects utilizing historic spend plus inflation of unit costs. For KEDLI, the majority of the programs and projects in the Reliability category, 61 out of 64, utilize program/project estimates to develop their Rate Year forecast, with the remaining four programs/projects utilizing historic spend plus inflation.

Q. Does the Panel agree with the methodologies utilized by the Companies to develop their Rate Year forecasts?

A. Yes. The Panel generally agrees with the methodologies utilized by the Companies; however, we have found large historical variance in the Companies program and project estimates compared to actual dollars spent.

Q. Does the Panel recommend adjustments based on these large historical variances?

A. Yes.

Q. Please describe your recommended Reliability CapEx adjustments.

A. Based on our review of the projects and past spending levels, we recommend a reduction of $36.366 million and $46.344 million to the Rate Year Reliability budget for KEDNY and KEDLI, respectively. As stated in the historical review section of this testimony we found significant variances between planned and actual spending in the reliability category, with the budget for the category being historically over-estimated. Utilizing a three-year average, we calculated that KEDNY and KEDLI historically spent approximately 74 percent and 71 percent of their reliability budgets, respectively. We applied these percentages as a slippage adjustment to the Companies' proposed Rate Year reliability budgets.

Q. Does the Panel have any additional recommendations for the Reliability budget Projects or Programs?

A. Yes, we also have recommendations regarding the following Programs: (1) Storm Hardening – Install Remote Service Shutoff Valves Program;

and (2) LNG Tank Upgrades Projects.

**Storm Hardening**

Q. Briefly describe the Storm Hardening – Remote Service Shutoff Valves Program.

A. This program is explained in the Companies' Exhibit___(GIOP-5), page 77, and page 60, for KEDNY and KEDLI, respectively. Generally, this project would install remotely operated shutoff valves, flood sensors, and a fixed communication network within the FEMA defined flood zones across the Companies' operating regions. This would allow the Companies to monitor and control the shutoff valves, mitigating the risk of flood damage to the Companies' facilities.

Q. Did KEDNY and KEDLI address the Storm Hardening – Remote Service Shutoff Valves Program in their last rate Cases 16-G-0059 and 16-G-0058, respectively?

A. Yes. In the 2016 KEDNY and KEDLI Rate Cases, the Companies proposed a five-year, FY 2017 to FY 2021 Storm Hardening – Remote Service Shutoff Valve Program, which Staff supported.

Q. What is the current status of the program?

A. As this is a new technology, not used anywhere else in the country, the Companies were unable to obtain a viable shutoff valve mechanism commercially available for use on the system, delaying the launch of the program.

Q. Were the Companies able to find a manufacturer?

A. Yes. The devices became available from the manufacturer in February 2019.

Q. Have the Companies' proposals for this program changed since their 2016 rate case proposals.

A. Yes. The Companies' renewed proposal is for FY 2020 through FY 2024 with an increase in the scope from 25,000 to 29,000 gas services and 58,000 to 60,000 gas services for KEDNY and KEDLI, respectively. Additionally, now that the Companies were able to find a manufacturer, they have a more accurate forecast of the costs which has led to significant increases in the cost of the program.

Q. Does the Panel support the Companies' renewed proposal for this Program?

A. Yes. We support the increase in scope of this project as it relies on more accurate GIS data provided by the New York State Office of

Information Technology Services, according to KEDNY's and KEDLI's responses to IRs DPS-561, and DPS-568, respectively. Additionally, we support the increase in costs associated with this program, because the original costs were based on an estimate and the newly proposed costs are based on the manufactures price quotes.

Q. Does the Panel have any additional concerns with this program?

A. Yes. After attending a technical conference with the Companies and reviewing the Companies' responses to IRs DPS-561, DPS-568, DPS-832, and DPS-954, we have concerns with the Companies' ability to move forward with this program on the schedule that they have proposed. According to their response to IR DPS-954, we find that the Companies are still in the process of testing the valves and will not be completed until December of this year. At this time, several issues have been found with the valves and are currently being resolved.

Q. What is the Panel's recommendation for this program?

A. We recommend in consideration of the large cost and size of this deployment that the valves be tested by an independent laboratory. To accommodate the additional testing time, and time to resolve any further issues that may arise, we recommend deferring this program for one year.

**LNG Tank Upgrades**

Q. Describe the LNG Tank Upgrades Projects.

A. As explained in the Companies' Exhibits___(GIOP-5), page 105, and page 85, for KEDNY and KEDLI, respectively, the Companies have LNG tanks that have been in service for an extended amount of time and are in need of service. KEDNY has two LNG tanks totaling 1.6 billion cubic feet of storage, at their Greenpoint LNG facility and KEDLI has one, 0.6 billion cubic feet tank at their Holtsville facility. These LNG tanks have been in service for approximately fifty years and require a detailed inspection and overhaul of various tank related systems.

Q. Did KEDNY and KEDLI address the LNG tank upgrades projects in their last rate Cases 16-G-

0059 and 16-G-0058, respectively?

A. Yes. In the 2016 rate cases, the Companies proposed the detailed inspection and upgrade of tank number two at Greenpoint and the detailed inspection and upgrade of the tank at Holtsville, that was generally supported by Staff.

Q. Did the Companies provide a reason, if any, that these projects did not move forward on schedule?

A. Yes. As stated in the Companies' GIOP direct testimony, execution of these projects were dependent on the NESE Project. The unavailability of the NESE Project has resulted in delays to the planned tank upgrades.

Q. Did the Companies provide additional testimony or support explaining how they would move forward with upgrading and repairing these tanks if the NESE Project was further delayed or not constructed?

A. No. The Companies only stated in their direct testimony of the GIOP panel that without additional capacity from the NESE Project, they would be unable to take the LNG tanks out of service for sufficient time to complete needed

repairs.

Q. What is the Panel's recommendation for these projects?

A. We recommend that the Companies put forth a reasonable proposal of how they will address the needed tank repairs and upgrades if the NESE project doesn't move forward and file their proposal by the beginning of FY 2021.

**Non-Infrastructure Category**

Q. Summarize the Companies' Rate Year forecast for the Non-Infrastructure category.

A. In Exhibit___(GIOP-1CU), the Companies' forecast a total Non-Infrastructure Rate Year expense of $9.942 million and $4.560 million for KEDNY and KEDLI, respectively. The Non-Infrastructure portion of the Companies' capital investment plan are the expenses associated with the Automatic Meter Reading (AMR) Replacement program; Tools and Equipment; Telecommunication program (including Radio Capital Expenditures, Comm Site Upgrades, and Damage Failure); and Learning & Development for Materials, Tools and Equipment.

Q. Did the Companies provide any changes/updates to their Non-Infrastructure capital expenditures in their correction and supplemental filings?

A. No.

Q. Please describe how the Companies forecast the budgets of Non-infrastructure budget for Rate Year?

A. According to the Companies' response to IR DPS-766, the Companies propose the following: (1) for the Telecomm program, the Companies' budget forecast is based on FY 2019 budgets with escalating inflation; (2)for Learning and Development budget, the Companies' budget forecast is based on projected incremental employee need in FY 2021; (3) for Tools and Equipment, the Companies' forecast is based on the average of FY 2017 and FY 2018 cost adjusted for the expected rates of LPP replacement and other mandated programs as well as the cost of inflation at two percent each year; (4) for AMR, the Companies' forecast is based on number of employees needed to complete the target number of AMR installations in Rate Year; (5) for Meter Testing Equipment, the Companies' forecast is

based on FY 2018 historic spending plus two percent annual inflation; and (6) for AMR Replacement, the Companies' forecast is based on the FY 2018 historical spending, units completed, and plus two percent annual inflation.

Q. Does the Panel agree with the Companies' forecasted budget for Non-Infrastructure category

A. No, we do not agree with the Companies' forecasted budget.

Q. Please explain why the Panel does not agree.

A. The Companies forecast is not reasonable because they have typically underspent their historic budgets. For example, concerning the Telecomm program, KEDNY budgeted $108,000 in FY 2019 but only spent $51,000, or approximately 47 percent of its budget. For past three years, the actual average spending was approximately $38,000, or only approximately 36 percent of the total budget.

Q. What does the Panel recommend on Non-Infrastructure budget be for the Rate Year?

A. We recommend that Telecomm program, Tools &

Equipment, and Meter Testing Equipment budgets be based on a three-year average of actual historic spending, escalated by inflation. We have no adjustments to AMR Installation & Replacement, and Learning and Development for both KEDNY and KEDLI. This results in an increase of KEDNY's budget by $241,263 and a decrease of KEDLI's budget by $302,798 for the Non-Infrastructure in Rate Year.

**Facilities**

Q. Summarize the Companies' Rate Year forecast for the Facilities category.

A. In KEDNY's Exhibit___(GIOP-7CU) and KEDLI's Exhibit___(GIOP-6CU), the Companies' forecast a total Facilities Rate Year expense of $18.425 million and $22.085 million for KEDNY and KEDLI, respectively.

Q. Please describe the Companies' Facilities budget for Rate Year?

A. According to the Companies' response to DPS-992, the Facilities budget historically has three components including Baseline Spend, Major Facilities Projects, and Cost of Removal. For

the Rate Year, both KEDNY and KEDLI have proposed budgets including Base Spend and Major Facilities Projects. KEDNY proposed $2.975 million and $15.450 million for Baseline Spend and Major facilities projects, respectively. KEDLI proposed $0.300 million and $21.785 million for Baseline Spend and Major facilities projects, respectively.

Q. Describe your capital expense adjustments for the Facilities category.

A. We reviewed the Companies historic budget and actual spending level for Baseline spend and found that KEDNY and KEDLI spent on average $2.932 million and $0.254 million from FY 2017 through FY 2019, respectively. Based on our findings, we recommend an upward adjustment of $92,060 for KEDNY and a downward adjustment of $31,401 for KEDLI on Base Spend under the Facilities category to reflect a three-year historic average escalated by inflation.

**Capitalization Policy**

Q. Are the Companies proposing any changes to the existing capitalization policies for main

installation?

A. Yes. Currently, KEDNY and KEDLI charge any main installation less than 50 linear feet to their O&M budget as an expense. The Companies are proposing to remove this threshold and capitalize all main installation no matter the length. The Companies state this charge is in accordance with FERC accounting guidelines.

Q. What is the Panel's opinion on this change?

A. We believe this change is reasonable. Additionally, the Companies state that the 50 feet threshold is an arbitrary policy, however, the change would allow them to standardize the accounting treatment of these work activities between National Grid's New York gas distribution companies. It is important to note that this change will reduce both the O&M budget and revenue requirement if it is implemented. The Staff Revenue Requirements Panel has confirmed that the Companies reflected this change correctly.

**Net Plant in Service and Depreciation Expense**

Q. Did the Companies develop a model to forecast

the average net utility plant in service and depreciation expense for the Rate Year?

A. Yes. The Companies provided, in their response to IR DPS-087, the models they used to develop the forecast monthly components of net utility plant in service.

Q. What are the Companies' projections for net utility plant in service and depreciation expense for the Rate Year?

A. KEDNY projected $5.796 billion for gas net utility plant in service, and $159.3 million in annual gas depreciation expense. KEDLI projected $4.006 billion for gas net utility plant in service, and $107.8 million in annual gas depreciation expense. These projections are based on actual inputs as of March 31, 2019.

Q. Did the Panel verify the Companies' projections?

A. Yes. We reviewed the plant in service models' calculations to verify their accuracy.

Q. Did the Panel develop its own forecast?

A. Yes.

Q. How did the Panel develop its forecast of net utility plant in service and depreciation expense for the Companies?

A. We modified the Companies' models to reflect our recommended adjustments to the capital budgets, as shown in Exhibit___(SGIOP-4), and depreciation rates. The results are shown on Exhibit___(SGIOP-5).

Q. Please explain what is shown on page one of Exhibit___(SGIOP-5).

A. Exhibit___(SGIOP-5) summarizes the projected monthly plant in service balances for additions, non-interest bearing construction work in progress, reserve for depreciation, net utility plant in service, and depreciation expense. Exhibit___(SGIOP-5) shows the monthly balances and calculates the average of the monthly balances for each of the components. This yields the overall average net utility plant in service upon which the Companies should be allowed a return, as well as the Rate Year level of annual depreciation expense.

Q. What are the Panel's Rate Year projections for gas net utility plant in service and gas depreciation expense?

A. We project gas net utility plant in service of $84.014 billion for KEDNY and $57.700 billion

for KEDLI, and gas depreciation expense of $141.8 million for KEDNY and $106.8 million for KEDLI. These figures were provided to the Staff Revenue Requirements Panel.

Q. How do the Panel's recommendations compare to the Companies' Corrections and Updates filings?

A. As shown on page one of Exhibit___(SGIOP-6), we recommend adjustments that, in total, reduce KEDNY's Rate Year average gas net plant in service by $53.0 million, and reduce its annual gas depreciation expense by $17.5 million. We recommend adjustments that, in total, reduce KEDLI's Rate Year average gas net plant in service by $91.7 million, and reduce its annual gas depreciation expense by $11.7 million.

**Incremental O&M Expenses**

Q. Please summarize the Companies' incremental O&M expenses forecast in the Rate Year.

A. In the Companies' Corrections & Updates Testimony, KEDNY forecasts total incremental non-labor operating expenses of $10.866 million in the Rate year for GIOP programs, as shown in Exhibit___(GIOP-8CU). KEDLI forecasts total

incremental non-labor operating expenses of $7.299 million in the Rate year for GIOP programs, as shown in Exhibit___(GIOP-7CU). Additionally, the Companies propose hiring 29.1 FTEs for KEDNY and 15.9 FTEs for KEDLI in the Rate Year to support GIOP programs, as shown in KEDNY Exhibit___(GIOP-9CU) and KEDLI Exhibit___(GIOP-8CU). The proposed increases are utilized to support multiple programs in the companies' capital budgets. The Companies' Gas Infrastructure and Operations Panels explain, beginning on pages 108 and 99 of their direct testimonies for KEDNY and KEDLI, respectively, that the increases in O&M expense are driven by the Companies' increasing capital investments and increased costs for executing the capital plan, an increase in O&M workload, and expanding safety initiatives. Additionally, New York City restoration cost increases also impacts costs of construction, leak repairs, and disconnects and reconnects.

**Non-Labor O&M Expenses**

Q. Does the Panel recommend adjustments to the non-

labor Operating expenses the Companies propose in the Rate Year?

A. Yes. We recommend non-labor operating expense reductions of $4.806 million and $3.010 million for KEDNY and KEDLI, respectively. We recommend reductions to the following budget categories which are reflected in Exhibit___(SGIOP-7): Pipeline Integrity - IMP (PHMSA Rules), and the Storm Hardening Program.

Q. Describe the Pipeline Integrity - IMP program.

A. The Companies Gas Infrastructure and Operations Panels explain, beginning on page 34 of their Direct Testimony, that the program supports inspections and assessments of transmission pipelines.

Q. Does the Panel support the Pipeline Integrity - IMP program (PHMSA)?

A. Yes, however, we contend that the incremental non-labor operating expenses (OpEx) proposed by the companies are not necessary to complete the work in the Rate Year.

Q. Please explain.

A. In the Companies' responses to IRs DPS-499 and DPS-712, the Companies state they are proposing

increased OpEx to support the work included under this program. This includes external corrosion direct assessments (ECDA), In-line Inspections, test data analysis, and non-capital repairs. However, neither the capital budget, or the OpEx workload for the Rate Year is being increased as compared to the most recent FY or the HTY; therefore, the existing OpEx budget should be able to support the needs of this work in the Rate Year. This results in a downward adjustment of $4.285 million in the Yate Year.

Q. Please describe the Storm Hardening Program.

A. The Storm Hardening program will install automatic shut off valves in FEMA flood zones and is described in more detail previously.

Q. Please describe the Panel’s recommended adjustment to the incremental non-labor OpEx in the Rate Year for the Storm Hardening Program.

A. As stated earlier in our testimony, the Panel has concerns with the Companies’ ability to implement this program on the proposed schedule. The Panel proposes removing the increased OpEx budget associated with this program in the Rate Year consistent with our proposed capital budget

adjustments. This results in a downward adjustment of $0.521 million in the Yate Year.

**Incremental FTE's**

Q. Please summarize the Companies' proposal to hire additional FTEs in the Rate Year.

A. As discussed previously and as shown in Exhibits___(GIOP-9CU) and Exhibits___(GIOP-8CU), KEDNY and KEDLI plan to hire 29.1 and 15.9 FTEs, respectively, in the Rate Year to support GIOP programs. KEDNY and KEDLI propose to hire, in the Rate Year, an additional 29.1, and 15.9 FTEs, respectively to support its capital programs.

Q. How will the unavailability of NESE impact the Companies' FTE requirements?

A. Without the NESE Project, the Companies' capital budgets are decreased significantly which results in reduced work load for all FTEs associated with reduced capital programs. In the Companies' response to IR DPS-946, the Companies state they do not currently have a formal deployment or utilization plan for employees in this scenario. We recommend that

if the NESE Project is unavailable, the Companies should reassess staffing levels, and redeploy their current FTEs as appropriate, prior to hiring any additional FTEs.

Q. Does the Panel have additional adjustments to the incremental FTEs proposed in the Rate Year by KEDNY and KEDLI.

A. Yes. We recommend that the incremental Rate Year FTEs proposed by KEDNY and KEDLI be reduced by 11.6 and 7.4, respectively, as shown on Exhibit___(SGIOP-8). Our recommended adjustments impact the following categories: OpEx Support for Capital, IMP/IVP OpEx, and Storm Hardening.

Q. Please explain the basis for these recommendations below.

A. While the Companies should hire at the levels it deems appropriate to provide safe and adequate service, these FTE adjustments reflect the level of O&M expense we believe the Companies have justified in its initial testimonies, Corrections and Updates testimonies, and responses to requests for information during the discovery phase of the proceeding. Thus, we

believe that with our FTE adjustments, we are recommending the level of O&M expense that is most appropriate for the Commission to use when setting rates in the Rate Year.

Q. Please describe the IMP/IVP program and the Panel's proposed adjustments.

A. As discussed earlier, the IMP/IVP programs support inspections and assessments of transmission pipelines. As shown in our Exhibit__(SGIOP-8), we propose reducing the incremental FTEs proposed in the Rate Year by two FTEs and three FTEs for KEDNY and KEDLI, respectively.

Q. Why does the Panel propose these reductions?

A. We propose these reductions because neither the capital expenditures or the O&M work load are significantly increased in the Rate Year compared to the HTY or most recent FY. Therefore, the program should be sufficiently supported by the existing staffing levels. This is consistent with our recommendations for the non-labor OpEx adjustments in this program.

Q. Explain the FTEs included under the OpEx Support for Capital and the Panel's proposed adjustments

to this category.

A. The Companies are proposing to hire 18 new FTEs for KEDNY and five new FTEs for KEDLI under this category. The incremental FTEs will be utilized across multiple capital programs including the CSC, and Proactive Main Replacement Programs.

Q. Please describe the Panel's adjustments to these FTEs.

A. The Panel recommends reducing the proposed FTEs under this category by nine FTEs for KEDNY, and by three FTEs for KEDLI. These adjustments are reflected on our Exhibit__(SGIOP-8).

Q. Why does the Panel recommend these adjustments?

A. In the responses to IRs DPS-280 and DPS-281, the Companies provided explanations for each of the proposed incremental FTEs. Many of the explanations for additional inspectors, supervisors, and contract oversight analysts were related to maintaining appropriate oversight on contractors performing capital work. We appreciate the need for appropriate oversight on contractors for numerous reasons, however, as explained earlier in our testimony, the Companies have implemented a new contractor

safety inspection program to address this issue within the budget for that program. Consequently, we recommend removing these incremental FTEs.

Q. Does the Panel have another basis upon which they recommend an adjustment to the number of FTEs for this program?

A. Yes. The Companies plan to hire a significant number of FTEs through this contractor safety inspector program. The goal of the program is to achieve a one to one ratio of inspectors to work crews. With the number of work crews varying at any given time, the exact number of inspectors required is difficult to determine. Additionally, it is yet to be seen what ratio is required to achieve optimal oversight. We recommend that the Companies utilize the new FTEs in the contractor safety inspector program to assess and further define these parameters.

Q. Does the Panel recommend any other adjustments to the FTEs included under the OpEx Support for Capital category?

A. Yes. We recommend removing one Welder in KEDLI’s forecast in the Yate Year. KEDLI

proposed hiring three Welders to account for increased work load and to begin the training process in anticipation of future attrition. We propose reducing this by one FTE to account for our reductions in the proposed capital budget as well as the uncertainty associated with actual attrition timelines of existing employees, which KEDLI did not provide.

Q. Please explain the Panel's FTE adjustments to the Storm Hardening Program.

A. Consistent with our proposed capital budget and non-labor OpEx adjustments for this program, we recommend removing the proposed incremental FTEs for this program in the Rate Year.

**City State Construction True Ups**

Q. Do the Companies currently have a true up mechanism for their City State Construction Program?

A. Yes. As provided for in recent rate cases, the Companies continue to utilize a reconciliation mechanism to recover the excess difference between actual expenditures and budgeted amounts for this program in the capital budget. The

current mechanism allows the Companies to recover 90 percent of the difference between the budgeted amount and the actual expenditure.

Q. Does the Panel support the true up mechanism?

A. We accept the true up because it has been in effect for some time.

Q. Do the Companies propose any changes to this mechanism?

A. Yes. The Companies proposes to change the true up from a 90 percent recovery to 100 percent recovery.

Q. Does the Panel support this change?

A. No. Although aspects of this program are beyond the Companies' control, KEDNY and KEDLI still manage the projects and contractors who ultimately complete the work associated with this program. This includes the full range of project management, contract oversight, quality control, material procurement, workforce control, and productivity, as well as many other factors which affect the total expenditures. Accordingly, we believe it is important to provide the Companies a strong incentive to manage the work efficiently and keep costs at a

minimum in order to benefit its customers. We, therefore, propose the true up mechanism at be adjusted to 80 percent to provide this incentive.

Q. Do the Companies propose any additional changes to the existing reconciliation mechanisms?

A. Yes. As stated on page 48 of KEDNY's testimony of the GIOP panel, KEDNY is also proposing to add an O&M Tracker that would fully reconcile the difference between forecast and actual spending in the non-reimbursable "Support and Protect" O&M expense category.

Q. Does the Panel support this new tracker?

A. No. As explained above, we believe it is important to provide the Companies with the necessary incentive to manage projects efficiently and cost effectively. In a one-year rate case, the Companies should be able to manage their O&M budgets and the true-up mechanism is not necessary.

**Main Installation Incentives**

Q. Please briefly describe the leak prone pipe incentives the Companies are proposing.

A. As shown in Exhibit___(GIOP-3), the Companies propose to recover the following costs and incentives under through the Gas Safety and Reliability Surcharge: Costs for incremental LPP replacement, Positive Revenue Adjustments (PRA) for LPP removal incentive, PRAs for the LPP unit cost incentive, costs for incremental leak repairs, PRAs for leak repair incentive, and PRAs for customer connections unit cost and productivity incentives.

Q. Did the Staff Policy Panel inform the Panel that these some of these incentives should be removed?

A. Yes.

Q. Is there a need to develop unit cost caps?

A. As the Staff Policy Panel proposes to remove the specific leak prone pipe incentives, there is no longer a need to develop the unit cost caps.

**Capital Investment Reconciliation Mechanism**

Q. Does the Panel propose a Capital Investment Reconciliation Mechanism?

A. Yes. As we stated earlier, based on our review of the Companies historical capital budgets and

expenditures, it is clear that there continuing variances between the capital budget and actual expenditures. To address this issue, we propose a Capital Investment Reconciliation Mechanism to protect customers from paying delivery rates that are too high because the Companies were not able to implement the entire capital plan, or conversely was able to do so more efficiently.

Q. Please briefly describe the proposed Capital Investment Reconciliation Mechanism.

A. We recommend that the actual net revenue requirement in the Rate Year be compared with the net revenue requirement approved by the Commission. When measuring the net plant in service, we recommend including depreciation expense. The mechanism is to be downward-adjusting only. The calculations should be made and filed with the Secretary on or before July 31st of the subsequent Rate Year. Any balance owed to customers would be deferred with carrying charges as calculated using the pre-tax rate of return approved by the Commission in this proceeding.

Q. Why does the Panel recommend that the mechanism

be a one-way, downward-only true-up mechanism?

A. Customers are paying a return on a forecast level of rate base. The one-way mechanism protects customers if the Company under-spends its capital budget, or if there is significant slippage, or delays, in closing projects to plant in service.

Q. Has the Commission previously adopted a one-way, downward-only, capital reconciliation mechanism in a litigated rate proceeding?

A. Yes. The Commission adopted a one-way downward only CapEx true-up mechanism in the Consolidated Edison Company of New York, Inc. electric rate case, Case 08-E-0539, and in Central Hudson Gas and Electric Corporation, Case 08-E-0887.

Q. Will the Gas Safety and Reliability Surcharge proposed by the Company impact the Capital Investment Reconciliation Mechanism?

A. Yes. It is important to understand how these mechanisms will function together.

Q. Please explain.

A. The Capital Investment Reconciliation Mechanism is an asymmetric reconciliation mechanism. If net plant additions are lower than projected,

the revenues collected to support the increment between actual and target net plant would be deferred for the benefit of customers. The Company would bear the risk of carrying costs resulting from net plant additions higher than projected.

Q. Please continue.

A. This reconciliation mechanism must work in concert with mechanisms approved in the Gas Safety Reliability Surcharge to prevent any unintended consequences.

**Reporting Requirements**

Q. What does the Panel recommend regarding CapEx and variance reporting requirements?

A. It is important for Department Staff and the Commission to monitor the Companies' capital investments. To that end, we recommend that the Companies be required to make regular filings. The filings should occur: (1) prior to the start of each FY; (2) quarterly during the FY; and (3) after the end of the FY.

Q. What information should the Companies be required to file before the FY, or shortly after

the Commission sets rates in this case?

A. Prior the beginning of the FY, the Companies should file with the Secretary to the Commission their LPP prioritization summary to identify the proposed projects and their estimated costs, an inventory of Type 3 leaks on their systems, and the approved five-year capital plans in the same format as Exhibit___(GIOP-1).

Q. What information would be filed quarterly?

A. The Companies should file quarterly variance reports to Staff in the same format as Exhibit___(GIOP-1) with explanations for any variances between the approved budget and actual expenditures. The Companies should also be required to report in detail the progress of LPP retirement mileage, Type 3 leaks repaired, a summary of the current Type 3 inventory, and new customers attached to the system, if the NESE Project is available.

Q. When should the quarterly reports be filed?

A. We recommend the Commission require the quarterly reports be filed within 45 days after the end of each of the first three calendar quarters of each FY.

Q. What information should be filed annually on a FY basis?

A. We recommend the Commission require the annual reports include the following information: (1) a final summary of the variance of capital expenditures (dollars and units) for all capital projects and programs including all on-going and active construction projects and programs in the same format as Exhibit___(GIOP-1); (2) a narrative explaining any cost or timeline deltas exceeding 10 percent; (3) a narrative on project design, permitting and or construction status (including a detailed construction schedule for each project) for any ongoing projects; (4) a description of any new projects or programs; and (5) capital project sanctioning documents for any projects exceeding $1 million that were authorized during the previous FY.

Q. When should the annual reports be filed?

A. We recommend the annual reports be filed not later than 60 days after the end of the last quarter in each FY.

Q. Should the reporting requirements continue beyond the FY?

A. Yes. It is important for the Commission to monitor the Companies' capital investment plans on an ongoing basis. Informational reports filed at regular intervals are critical to this oversight.

Q. Does this conclude the Panel's testimony?

A. Yes.